



KNOW WHAT TO VERIFY BEFORE YOU COMMIT

The STR Buy Box Checklist

Check the evidence. Then check the deal.

A working guide for rented and owned properties. Use it to test permission, revenue, costs and your exit plan.

EDITION

21 September 2026
Design revision

FORMAT

Field guide + Excel
U.S. short-term rentals

USE

Educational tools
Not investment advice

Read this first

This is a research tool, not a reason to buy.

Use this guide for one property at a time. It covers rental arbitrage and property ownership. Each model has its own cash needs and risks.

Start with permission

A score cannot make a prohibited use legal. Stop this operating plan when a required gate fails. Hold when a key fact is still unknown.

YOUR MARKING KEY

Yes = evidence supports this use. **No** = the planned use fails. **?** = you have not confirmed it. A tick means reviewed, not approved.

Where the numbers come from

Dollar targets, weights and score bands are editorial screening aids. They are not universal standards. The companion calculator lets you set your own targets.

Source research is dated 21 September 2026. The redesign keeps that research date. Check laws, fees and property facts again before you act.

RECORD

YOUR NOTES

Property / address

Model / reviewer / date

Education only. Talk to a qualified tax professional, lender, insurer and local legal adviser. No bookings, permits, deductions or returns are guaranteed.

Contents

Find the page you need. Keep the workbook open nearby.

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HOW TO READ THIS

Start with Part 01 for every property. Then read the market and property checks. Use the chapter for your model. Score the evidence last.

Permission comes first

Six checks before you spend time on projected returns.

☐ 01 **Exact jurisdiction**

Record the parcel/address, city limits, county, zoning district and intended rental use. A mailing city or vendor market boundary is not a land-use determination.

EVIDENCE / DATE

☐ 02 **Legal STR use**

Obtain written planning confirmation that this exact property may operate the intended whole-home/hosted, owner/non-owner-occupied model.

EVIDENCE / DATE

☐ 03 **Permit availability**

Verify the required permits, current cap/waitlist position, application path, inspections, minimum stays, renewal dates and transfer rules. A seller's permit is not automatically yours.

EVIDENCE / DATE

CONTINUED

Confirm consent and safe use

Checks 04-06. Get evidence before committing money.

☐ 04 **Private restrictions**

Read the current recorded covenants, HOA/condo declaration, bylaws and building rules. Check rental caps, minimum nights, guest limits and pending amendments.

EVIDENCE / DATE

☐ 05 **Owner / lender consent**

Arbitrage: obtain express written STR/sublease permission. Ownership: confirm the lender and insurance carrier permit the planned occupancy and business use.

EVIDENCE / DATE

☐ 06 **Insurable, safe operation**

Obtain a bindable STR-use quote and confirm lawful guest capacity, fire/egress, smoke/CO, pool/hot-tub and access requirements before committing capital.

EVIDENCE / DATE

DO THIS WEEK

- ☐ Find the parcel and its exact local jurisdiction.
- ☐ Send planning staff your address and intended rental model.
- ☐ Request the HOA rules and written owner or lender consent.

02 Match the market

Look for evidence that fits your property and guest.

☐ 07 **Repeatable demand**

Identify at least two plausible guest segments: tourism, business/medical, university, visiting family or recurring events. Explain why they book this specific location.

EVIDENCE / DATE

☐ 08 **Arrival and access**

Check real airport-to-door and drive-to journey times, parking, late arrival, winter access and public transport where relevant. not merely distance on a map.

EVIDENCE / DATE

☐ 09 **Demand trends**

Review local tourism and monthly park/attraction reports. For population/jobs, compare the same Census/BLS geography and periods; do not equate residents with overnight guests.

EVIDENCE / DATE

☐ 10 **Comparable property set**

Collect 5-10 active, legally comparable listings with matched bedrooms, bathrooms, guest capacity, quality, location and amenities. Include ordinary performers, not only the top decile.

EVIDENCE / DATE

☐ 11 **Calendar evidence**

Use 12 months of available/occupied nights and achieved ADR when obtainable. Blocked nights are not proven bookings; a public calendar alone does not establish revenue.

EVIDENCE / DATE

CONTINUED

Test the revenue

Use a full year, not just the best month.

☐ 12 **ADR, occupancy and RevPAR**

Record source/date, available-night denominator, fees included and seasonality. Keep room revenue separate from cleaning/guest fees and occupancy taxes.

EVIDENCE / DATE

☐ 13 **Supply and hotels**

Review comparable STR inventory, new construction, hotel competition, listing quality and supply growth. Confirm that a large data change is not a boundary or methodology change.

EVIDENCE / DATE

☐ 14 **Seasonality and events**

Build 12 months. Identify the worst three months and test removal of the largest event. Do not annualize a summer or holiday rate.

EVIDENCE / DATE

☐ 15 **Pricing evidence**

Compare median and lower-performing matched comps, weekday/weekend rates, minimum stays, discounts, length of stay and new-listing ramp-up.

EVIDENCE / DATE

☐ 16 **Local cost environment**

Get property-specific insurance and tax estimates, labor availability and service quotes. Consider reassessment after purchase, storm deductibles and local lodging taxes.

EVIDENCE / DATE

DO THIS WEEK

- ☐ Save five matched listings and their source dates.
- ☐ Mark the three weakest months on a calendar.
- ☐ Request one local insurance quote and one cleaning quote.

Inspect the property

Match legal guest capacity, layout and real operating costs.

☐ 17 Legal configuration

Confirm legal bedrooms, bathrooms, egress and septic/sewer capacity. Advertised sleeps must not exceed permit, fire, septic or building limits.

EVIDENCE / DATE

☐ 18 Layout and guest match

Match bathrooms, gathering areas, stairs, privacy and beds to the chosen guest. More beds do not automatically produce more profitable demand.

EVIDENCE / DATE

☐ 19 Parking and arrival

Verify legal off-street spaces, vehicle limits, steep drives, snow clearance, accessibility and check-in lighting. Test the guest's route.

EVIDENCE / DATE

☐ 20 Demand-generator proximity

Measure actual walking/driving routes to attractions, hospitals, campuses or event venues. Check safety and access barriers along the route.

EVIDENCE / DATE

☐ 21 Amenities with evidence

Price outdoor space, views, workspace, pool/hot tub and pet amenities against matched-comp evidence. Include permits, utilities, service and replacement costs.

EVIDENCE / DATE

☐ 22 Neighbors and noise

Assess shared walls, outdoor noise carry, parties, quiet hours, trash, smoking and enforcement history. Plan a lawful complaint-response process.

EVIDENCE / DATE

CONTINUED

Price the work

Setup and maintenance costs belong in the deal.

☐ 23 **Condition and renovation**

Inspect roof, HVAC, structure, plumbing, electrical and moisture. Obtain written bids and a contingency rather than a listing-agent renovation guess.

EVIDENCE / DATE

☐ 24 **Furniture and launch**

Budget durable furniture, kitchenware, linens, smart locks, lawful exterior security, photography and initial consumables. Do not omit setup labor or launch downtime.

EVIDENCE / DATE

☐ 25 **Maintenance intensity**

Price pool/hot tub, landscaping, snow, pest control, septic/well, dock, salt-air and mountain-access maintenance where relevant.

EVIDENCE / DATE

☐ 26 **Hazards and insurance**

Review parcel-level flood maps and wildfire/wind exposure, claims, exclusions, replacement coverage, liability and loss-of-income provisions. Being outside a mapped high-risk flood zone does not mean zero risk.

EVIDENCE / DATE

☐ 27 **Resale / fallback utility**

Ask whether a conventional household or long-term renter would want the property. Verify fallback rent, permitted use and realistic net sale proceeds.

EVIDENCE / DATE

DO THIS WEEK

- ☐ List the repairs that need written bids.
- ☐ Check parking and the actual route from a demand source.
- ☐ Request coverage details, exclusions and storm deductibles.

04 The arbitrage buy box

The lease must last longer than your path to payback.

You rent the home, then host short stays with written permission. The business must cover rent, service costs and the cash used to launch.

PLAIN WORDS

Cash-on-cash	Annual cash flow divided by startup cash.
Break-even occupancy	The booked-night share that covers modeled costs.
Payback	The time to earn back startup cash from cash flow.

SCREEN

EXAMPLE STARTING POINT

Monthly cash flow	\$500 or more after full costs
Cash-on-cash return	20% or more
Break-even occupancy	50% or less
Occupancy cushion	At least 10 percentage points above break-even
Startup payback	24 months or less, within firm lease control
Opening reserves	At least 3 months of fixed costs
Room revenue / rent	At least 2.0×, excluding cleaning fees

These are editable example hurdles. Passing them does not prove a deal will work. Include launch delays when comparing payback with your lease term.

DO NOT HIDE COSTS

A guest cleaning charge is revenue. The cleaner's bill is an expense. Include platform charges on guest fees.

CONTINUED

Read the lease

Checks 28–31. Record the terms you can enforce.

☐ 28 **Written permission**

Use a signed lease/addendum expressly authorizing STR advertising, transient guests, subletting and intended platforms. Verbal consent is not sufficient evidence.

EVIDENCE / DATE

☐ 29 **Lease risk allocation**

Have counsel review term, renewal, rent escalations, deposits, guest liability, insurance, repair duties, furnishings, termination and loss-of-permit provisions.

EVIDENCE / DATE

☐ 30 **Full startup cash**

Include refundable deposits, prepaid rent, landlord payments, utilities, permits, setup, photography and operating reserves. Avoid double-counting prepaid amounts as new spending.

EVIDENCE / DATE

☐ 31 **Complete monthly burden**

Include rent, utilities, insurance, software, VA/management, cleaning, guest supplies, repairs, replacement reserve, lawn/pool/snow, licenses and absorbed taxes.

EVIDENCE / DATE

CONTINUED

Test lease economics

Checks 32-35. Price both the downside and the exit.

☐ 32 **Real turnover economics**

Model average length of stay, cleaning paid versus collected, platform fees on guest charges and the actual management fee basis.

EVIDENCE / DATE

☐ 33 **Downside and liquidity**

Reduce ADR 15%, occupancy 10 percentage points and increase fixed/turnover costs 10%. Separately test launch delay and the worst three months.

EVIDENCE / DATE

☐ 34 **Payback versus control**

Compare all-in startup payback with the firm remaining lease term, allowing time for ramp-up. Do not assume renewal or full furniture resale value.

EVIDENCE / DATE

☐ 35 **Exit mechanics**

Price restoration, deposit deductions, early termination, removal/sale of furniture and a legal long-term sublease fallback. Confirm who owns the bookings after exit.

EVIDENCE / DATE

DO THIS WEEK

- ☐ Ask for a draft lease and the STR addendum.
- ☐ Enter the deposit, setup budget and full monthly costs.
- ☐ Compare startup payback with the firm lease term.

05 The ownership buy box

Check the property before adding tax benefits.

A purchased property has two sets of costs. The first is the cash needed to buy and launch. The second is the cost of running it each month.

PLAIN WORDS

NOI	Income less operating costs, before debt and reserves.
DSCR	NOI divided by scheduled debt payments.
Cap rate	NOI divided by purchase price.

SCREEN

EXAMPLE STARTING POINT

Monthly cash flow	\$500 or more after debt and reserves
Debt-service coverage	1.25× or more using the stated NOI definition
Break-even occupancy	55% or less
Occupancy cushion	At least 10 percentage points above break-even
Opening reserves	At least 6 months of fixed costs plus debt
Five-year case	Review a zero-appreciation case first

Targets are planning choices, not lender commitments. Choose your cash-on-cash target in the calculator. Get the actual financing and insurance terms.

KEEP TWO NUMBERS SEPARATE

NOI is not money you can spend. Ownership cash flow also deducts principal, interest and the CapEx cash reserve.

CONTINUED

Check the purchase

Checks 36–39. Use written quotes, not headline estimates.

☐ 36 **Acquisition cash**

Include down payment, closing costs, renovations, furnishings, permits, initial reserves, lender escrows and other purchase costs. Check which amounts are actually financed.

EVIDENCE / DATE

☐ 37 **Loan terms and permitted use**

Obtain a written term sheet: rate/APR, points, amortization, balloon, prepayment penalty, reserve requirement and permitted STR/business occupancy.

EVIDENCE / DATE

☐ 38 **Taxes, insurance and HOA**

Use post-purchase assessment estimates, bindable STR coverage and current HOA budgets, reserves, assessments and meeting minutes. Do not rely on the seller's historic tax bill alone.

EVIDENCE / DATE

☐ 39 **NOI versus cash flow**

NOI is before debt and depreciation. This toolkit deducts CapEx reserves after NOI to show spendable cash flow. Confirm the lender's distinct underwriting definition.

EVIDENCE / DATE

CONTINUED

Test the hold and exit

Checks 40–43. Do not rely on future appreciation.

☐ 40 **Returns and coverage**

Compare cap rate, cash-on-cash, NOI DSCR and after-reserve cash coverage. A high gross-revenue yield is not cash-on-cash return.

EVIDENCE / DATE

☐ 41 **Reserves and repairs**

Fund major replacements and low-season carry separately from renovation/launch cash. Check whether the insurance deductible can be paid without new borrowing.

EVIDENCE / DATE

☐ 42 **Five-year assumptions**

Use zero appreciation in the initial screen. Test fixed-cost inflation, capital repairs, refinance risk and declining revenue. Paper equity is not distributable cash.

EVIDENCE / DATE

☐ 43 **Exit and liquidity**

Research long-term rent, ordinary homebuyer resale, sales expenses, debt payoff and possible taxes/recapture. Permit transferability may materially affect the buyer pool.

EVIDENCE / DATE

DO THIS WEEK

- ☐ Request the written loan terms and payment schedule.
- ☐ Price taxes, insurance and known HOA assessments.
- ☐ Run the five-year model without price growth.

06 Use tax estimates last

A potential write-off is not the same as spendable cash.

☐ 44 Basis and land

Document purchase allocation, nondepreciable land, eligible closing costs and capitalized renovations. Keep furniture separate to avoid double counting.

EVIDENCE / DATE

☐ 45 Cost segregation study

Have a qualified professional support asset classes, lives and reclassified amounts. A percentage input is a planning assumption. not a completed study.

EVIDENCE / DATE

☐ 46 Eligibility and dates

Confirm acquisition/binding-contract and placed-in-service dates, business use, asset qualification, elections and current federal/state rules. The entire building is not automatically bonus-eligible.

EVIDENCE / DATE

PLAIN WORDS

Cost segregation	A study that separates assets by tax recovery life.
Depreciation	A deduction for the cost of eligible assets over time.
Material participation	A tax test of how you take part in the activity.

Document the tax case

Checks 47-49. A tax professional must review your facts.

☐ 47 Activity classification

Average customer use of seven days or less can change the passive-activity rental classification; it does not automatically create nonpassive income, Schedule C treatment or exemption from other limits.

EVIDENCE / DATE

☐ 48 Material participation

Keep contemporaneous, credible work records. Ask the CPA which test applies, how spouse/manager hours count and which activities are excluded. Buying before year-end does not establish participation.

EVIDENCE / DATE

☐ 49 Usable loss and later tax

Ask the CPA to evaluate basis, at-risk, passive-loss, excess-business-loss and other limits; state conformity; personal use; future sale/recapture and disposition planning. A deduction is not a guaranteed refund.

EVIDENCE / DATE

THE MODEL IS LIMITED

The tax sheet uses illustrative 100% business use. State depreciation is a separate input. Mixed personal use and a full tax return are not modeled.

DO THIS WEEK

- ☐ List the purchase and placed-in-service dates.
- ☐ Gather land values, invoices and any existing study.
- ☐ Ask your tax professional which activity and loss rules apply.

07 Red flags and stress tests

Find what could break the plan before you commit.

☐ 50 **Illegal or unresolved use**

STOP when the intended use is prohibited or consent is denied. HOLD when permission, permit availability, insurance or safe occupancy remains unconfirmed.

EVIDENCE / DATE

☐ 51 **Projection-only economics**

Investigate deals supported only by seller pro formas, top-performing listings, blocked calendars or one annual event. Obtain independent evidence.

EVIDENCE / DATE

☐ 52 **Insufficient margin**

Rework a deal requiring unrealistic ADR/occupancy or ignoring platform fees, reserves, management, assessments or expensive insurance.

EVIDENCE / DATE

STRESS TEST

RECORD THE RESULT

Revenue shock

ADR down 15%; occupancy down 10 percentage points

Cost shock

Fixed and unit turnover costs up 10%

Launch delay

1–3 months without revenue while fixed costs continue

CONTINUED

Make the downside explicit

Checks 53–55. Name the cash need and action trigger.

☐ 53 **Operational fragility**

Investigate remote labor shortages, difficult access, neighbor sensitivity, storm exposure, aging systems or amenities without maintenance quotes.

EVIDENCE / DATE

☐ 54 **Tax-dependent viability**

Do not justify recurring operating losses with an unverified first-year deduction, assumed refund, appreciation or refinance.

EVIDENCE / DATE

☐ 55 **Written downside plan**

Document cash needed for a launch delay, the worst season, a major repair and a regulatory shutdown. State the action trigger and the exit cost.

EVIDENCE / DATE

RECORD

YOUR NOTES

Reserve needed in a weak season

Trigger to pause, reprice or exit

DO THIS WEEK

- ☐ Read the conservative scenario and record cash flow.
- ☐ Remove the largest event from the revenue plan.
- ☐ Price one lawful fallback or lease exit.

08 Score the evidence

Only score a deal after you have checked the hard gates.

Rate each category from 0 to 5. Weighted points = rating ÷ 5 × weight. Missing evidence earns zero. Record the proof in the Excel evidence tracker.

CATEGORY	WEIGHT	RATING 0-5	POINTS
Regulation	20	_____	_____
Revenue evidence	20	_____	_____
Expenses	15	_____	_____
Market	10	_____	_____
Property	10	_____	_____
Financing / lease	10	_____	_____
Risk / reserves	10	_____	_____
Exit options	5	_____	_____
TOTAL	100		____ / 100

Rating anchors: 0 missing or critical; 1 weak; 2 material gaps; 3 adequate support; 4 strong support; 5 robust evidence and downside plan.

CONTINUED

Read the score with the gates

A high score cannot override missing permission.

GATE OR SCORE	WHAT TO DO
Any gate = No	STOP this operating plan
Any gate = ?	HOLD until the required facts are confirmed
80–100, all gates confirmed	Prioritize further due diligence, not approval
60–79, all gates confirmed	Resolve gaps, reprice and retest
Below 60, all gates confirmed	Rework the case or pass

RECORD	YOUR NOTES
Largest unresolved risk	
Required condition before signing	

DO THIS WEEK

- ☐ Give each category a rating backed by evidence.
- ☐ Write down the largest remaining risk.
- ☐ Name the condition that must be met before signing.

Your one-page plan

Use one sheet per deal. Your next step should be clear enough for another person to follow.

RECORD

YOUR NOTES

Property / model

STOP, HOLD or continue research

Base / conservative monthly cash
flow

Initial cash / reserve runway

Largest unresolved risk

Required condition before signing

Next action / person / deadline

☐ Permissions and safety evidence saved.

☐ Full-cost calculator and downside case saved.

☐ Professional review questions written down.

REVIEWER / SIGNATURE

DATE

Comparable-property worksheet

Start with five matched listings. Expand to ten when the sample is thin. Print this page again for more room.

RECORD

YOUR NOTES

Target address / bedrooms /
bathrooms

Legal guests / parking / key
amenities

COMP

LISTING / SOURCE / DATE

MATCH AND ACHIEVED REVENUE EVIDENCE

1

2

3

4

5

RECORD

YOUR NOTES

Adjustments / weaker comparable
listings

Defensible ADR / occupancy /
nights

Blocked dates are not proven bookings. Separate achieved rates from asking rates. Use matched periods, guest capacity, fees and availability.

Notes and sources

What changed in this edition

The layout, typography and navigation were redesigned. All 55 evidence checks and scoring weights were retained. No new market or legal review was added.

Where to find the evidence

SOURCE	USE IT FOR
Market workbook	Regulation holds official city and county links. Source Register holds provider pages, dates and quality notes.
Calculator workbook	Assumptions Definitions explains the model. Tested Examples retains the original arithmetic test log.
IRS publications	Check depreciation, activity treatment and loss limits with your tax professional.
FEMA flood maps	Review the parcel with insurance and local hazard evidence.

Primary references

[IRS Notice 2026-11](#) · [IRS Publication 925](#) · [IRS Publication 946](#) · [IRS Publication 527](#) · [FEMA flood maps](#)

Limits of this checklist

Targets and score bands are editorial aids. They are not tested predictions of success. A permitted property can still lose money. A high score cannot replace evidence.

This guide provides investment, legal and tax education, not personal advice. No revenue, permit, financing, tax or appreciation outcome is guaranteed. Consult qualified advisers before acting.